

Accounts Payable Compliance Policy (v3.2)

1. Three-way match
Every invoice must reference a valid, open purchase order. The vendor on the invoice must match the vendor on the PO.
Invoices without a PO, or against an unknown/closed PO, are rejected.

2. Pricing
Invoiced unit prices must match the PO unit price and the contract rate card. Variances up to 1% are tolerated (rounding); above 1% the invoice is flagged for review; above 10% it is rejected.

3. Quantities
Invoiced quantities may not exceed PO quantities. Any overage is flagged; overage above 10% is rejected.
Lines that do not appear on the PO are flagged.

4. Totals
Line amounts, subtotal, tax and total must be arithmetically consistent. The invoice total may not exceed the PO approved total by more than 2% (flag) or 10% (reject).

5. Contract validity
The contract must be in force on the invoice date. Invoices dated after contract expiry are flagged.
Charges prohibited by the contract (e.g. freight when shipping is included) are flagged.

6. Approval limits
Invoices of \$50,000 or more require manual approval by the Controller, even if all checks pass.

7. Payment terms
The payment terms stated on the invoice must match the contract terms.

AP COMPLIANCE THRESHOLDS

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math_tolerance_abs	0.05
price_variance_flag_pct	1.0
price_variance_reject_pct	10.0
quantity_overage_flag_pct	0.0
quantity_overage_reject_pct	10.0
total_variance_flag_pct	2.0
total_variance_reject_pct	10.0
manual_approval_amount	50000.0